

GLOBAL RATES TRADER

Dealing With Inflation

Inflation risks have subsided somewhat given the energy relief following the US-Iran deal, but in their place the market has repriced US front-end rates following the hawkish FOMC messaging. As markets adapt to a shift in Fed communication, we expect greater policy uncertainty to support vol and see scope for greater reactivity to individual datapoints and Fed communication. Our forecasts and longer-term valuations argue for a steepening bias in the US, but with hawkish risks boosting front-end yields and compressing long-end risk premium, we think positioning for belly outperformance on the curve offers the best near-term risk/reward for longs. Energy relief narrows the outcomes for European rates, favouring lower vol and EGB carry, but we think the prospects for much lower yields are limited. In contrast, we expect more macro relief for front-end UK rates as the BoE remains on hold and energy inflation subsides. We favour 2s10s GBP steepeners as fiscal risk premium remains elevated following the Makerfield by-election. With the BoJ having delivered a hike without more hawkish guidance on the path or end-point of the tightening cycle, fiscal policy is likely a near-term focal point. We expect the long-end to be more reactive to any developments, but continue to think that risk/reward is more favourable to shorts further in on the curve.

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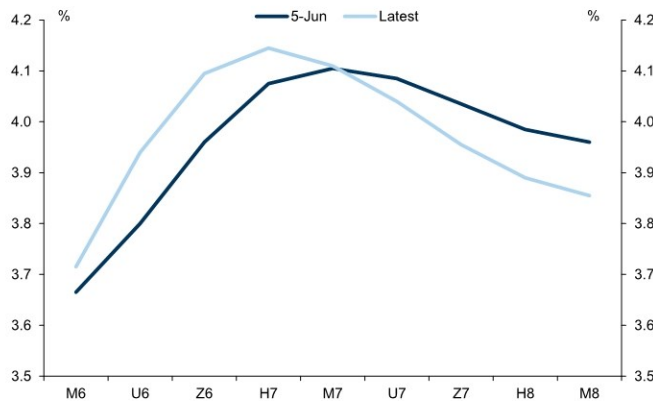
- **Risk premia rotation.** Wednesday's FOMC injected new life into the possibility of a series of rate hikes for a market that had been consolidating around a less severe inflation outcome. Our economists see an increased risk of hikes later this year but have maintained their baseline that the FOMC will leave the policy rate unchanged through the course of the year. What had been previously diffuse hike pricing has shifted in, with the market pricing nearly two hikes to the Mar/Apr-27 meeting peak in the OIS curve. While that risk is now more front-loaded, the rates curve has not priced a significantly higher peak than the one seen on the heels of the May labor market report ([Exhibit 1](#)). As we have observed in other markets, to the extent that the policy reaction function is seen as sufficiently front-footed, greater right tail risk around the very front-end can keep a lid on risk premia further out the curve. This dynamic is visible in the flattening that alongside taking hike pricing to levels consistent with a plausible "insurance" amount has pushed longer-term forwards to levels that are now rich to fair. That hawkish front-end/rich long-end backdrop tilts towards a steepening bias, and

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we think that a relaxation in hike risks ought to correspond to a steeper curve with long-end forwards stickier. But we think for now there is clearer scope for the reevaluated reaction function to support the belly of the curve. An undoing of the broader hawkish repricing (on more benign data, for example) can undo the recent underperformance of 5s versus 2s and 10s, whereas our [prior analysis](#) suggests 5s ought to outperform on the curve from front-loading of hike risk against stickier or declining forwards further out the curve ([Exhibit 2](#), which we would expect on hotter labor market or inflation data).

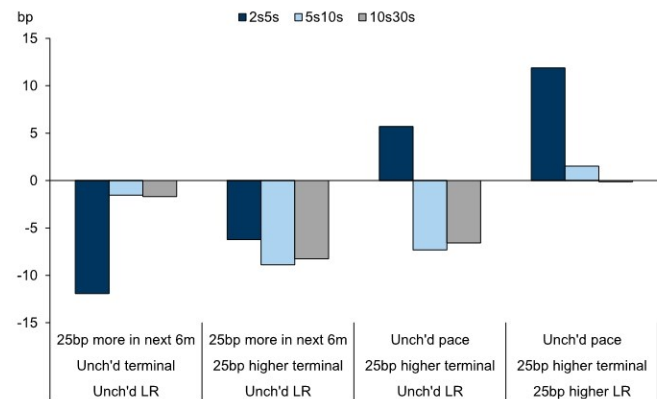
Exhibit 1: Hike risk is more front-loaded, but the curve is not pricing a significantly higher peak
3m SOFR futures curve



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 2: 5s should outperform on the curve from front-loading of hike risk against stickier or declining forwards further out the curve

Shift in curve segments implied by changes in pace of hikes over next 6m, extent of hikes over next 2y, and changes in longer-run (5y5y) rate levels

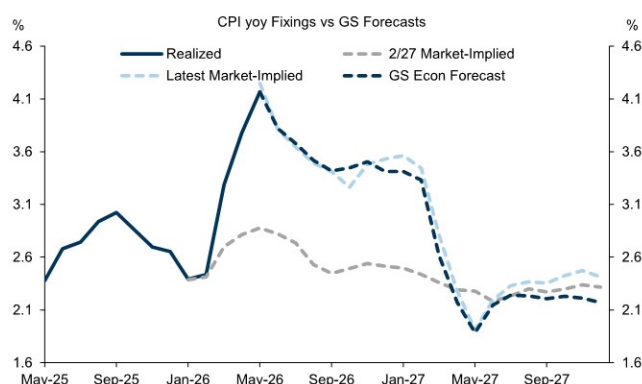


Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

- **Double trouble for traded inflation.** The steep and steady decline in oil has reset front-end inflation pricing in alignment with our economists' latest headline CPI projections ([Exhibit 3](#)). While the energy picture has weighed on the forward curve as well, the reassessment of the Fed's reaction function corresponded to a sharp rise in real yields alongside a compression in inflation forwards. We [highlighted a preference](#) for beta-weighted real rate longs on the premise that a deeper rally would likely require a heavier lift from real rates and that it offered some insulation against the still-present geopolitical uncertainty. While we still think some elements of the former argument hold, as long as the recent hawkish shift proves somewhat durable, higher spot inflation is likely to be accompanied more reliably by higher real rate expectations rather than inflation risk further out the curve, narrowing the path to lower real rates (for example, benign scenarios where the Fed underdelivers versus what is priced without too much added disinflation). While our valuation framework puts longer term inflation forwards on the cheap side of fair, and our economists expect a more dovish reaction function than is priced, we close our long real rates on a beta recommendation at a small loss given the less favorable post-FOMC backdrop.
- **Shifting vol risks from macro to policy.** The decline in energy prices and reduction in geopolitical uncertainty have weighed on implied volatility across the surface, but

building clarity around the US-Iran conflict has given way to more uncertainty around the Fed's reaction function. We think this shift from macro to policy uncertainty should for now widen the distribution around the path for near-term rates, but greater vigilance against inflation can keep the long-end somewhat more stable. Consistent with this, our vol model suggests that the combination of a reduction in inflation survey dispersion and an increase in policy rate survey dispersion should typically be consistent with flatter tail curves ([Exhibit 4](#)). In the near-term, we expect greater sensitivity to communication from FOMC voters, as Chair Warsh offered little detail about the criteria for a rate hike or whether the news on the peace deal had been incorporated in FOMC members' dots, and continue to expect local volatility around FOMC meetings and minutes releases as markets adjust to a new communication regime.

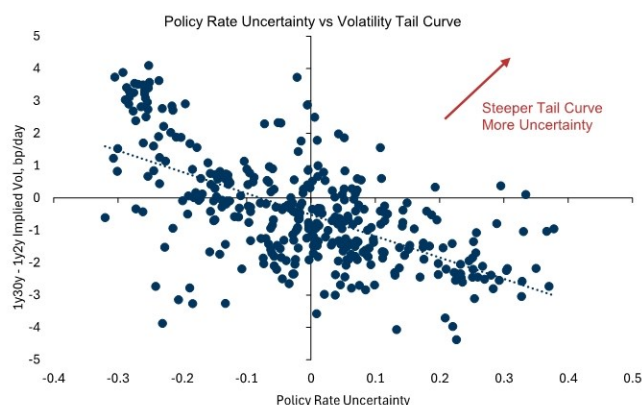
Exhibit 3: Front-end inflation pricing aligns with our economists' forecasts



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Exhibit 4: Greater policy uncertainty flattens the volatility tail curve

1y3m US rate uncertainty (orthogonalized against inflation, growth) vs implied vol tail curve



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities, Consensus Economics

- **Maintaining ample reserves, at least for now.** The June [FOMC statement](#) added language on the balance sheet reaffirming the Fed's "policy of maintaining ample reserves in the banking system." We read this primarily as a statement of current policy, though it implicitly endorses the ample reserves framework, at least for now. Chair Warsh [announced](#) a task force to review the Fed's [balance sheet policy](#), and while other Fed officials have voiced support for the ample reserves framework in recent months, they have also acknowledged evidence that a reduction in reserve demand would warrant an adjustment in the supply of reserves. To that end, the [implementation](#) note was tweaked in a hawkish direction, adding "when appropriate" ahead of the directive to the New York Fed to increase the size of the SOMA portfolio to maintain ample reserves. While this still affords the NY Fed discretion on RMPs, it also points more clearly to periods when no growth in the SOMA portfolio might be deemed appropriate. Last week, the NY Fed decided to [hold](#) RMPs at \$10bn/month heading into June's tax season. Although funding conditions tightened as mid-June corporate tax payments coincided with coupon settlements to start the week, the uptick in repo rates was shortlived against a still broadly stable backdrop. We continue to expect a \$5bn per month average in reserve management purchases over the coming quarters, which we think would be

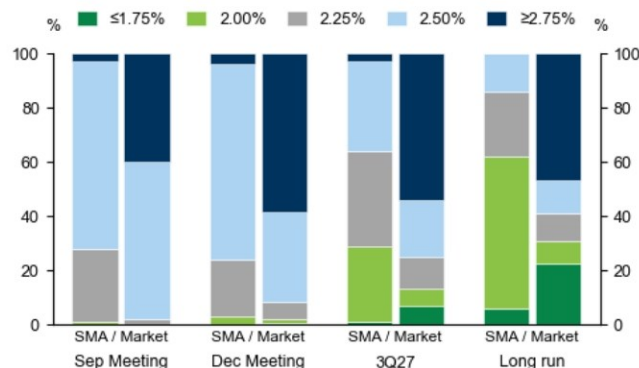
consistent with repo rates settling closer to IORB on average.

Europe

- **Narrower range of outcomes, but relief well-priced in EUR rates.** European duration rallied through the week as energy market relief extended. Front-end yields and inflation are slightly lagging the move in oil prices, but this is in part due to spillovers from the hawkish repricing of the US front-end. Given the price pressures already in train, our economists continue to expect the ECB to tighten policy once more in September, although the risk of no further hikes has risen. Markets price about 35bp of hikes over the next 12m, which suggests the market is still pricing somewhat hawkish risks relative to our modal view. This gap may decline should energy flows further reduce upside risks to commodity prices, but with the energy futures curve already below our revised oil and gas forecasts we think there is limited room for relief to extend. ECB surveys suggest 2.5% is not seen as deeply restrictive, and the risk-neutral probability distribution priced into markets is only modestly hawkish to these surveyed expectations ([Exhibit 5](#)). This suggests that volatility is more likely to decline than yields (more below). Given the flattening that has already occurred in the EUR curve, and the outperformance of 10y, we close our long EUR 5y5y real rates recommendation for a potential gain of 11bp.

Exhibit 5: Markets are hawkish vs policy rate surveys

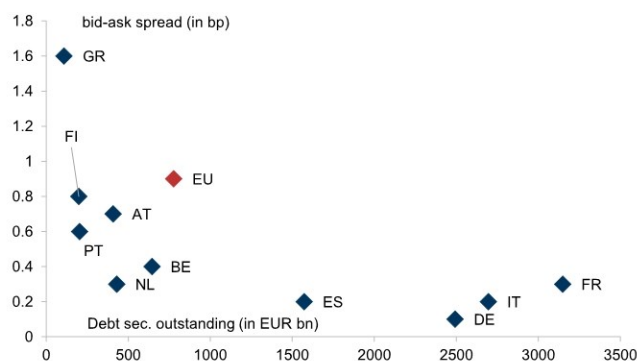
ECB surveys of the policy rate vs market probabilities based on swaption pricing



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities, SMA

Exhibit 6: EU bid-ask spread has underperformed growth in the EU debt stock

Bid-ask spread of 10y benchmark vs Debt outstanding



Source: Goldman Sachs Global Investment Research, Bloomberg

- **Reduced risks improve outlook for sovereign spreads.** The narrower range of outcomes for core rates and the ECB should continue to dampen rates volatility in Europe. This should provide ongoing support for EGB carry – we continue to recommend longs in 3y BTPs, OATs and Bonos vs OIS. Further out the curve, in our [last update](#), we reiterated our expectation for modest sovereign spread widening for 10y spreads across countries into year-end. This view was premised on a sluggish Euro area growth outlook as well as the likely increase in political risk as 2027 drew nearer. We believe the US-Iran deal improves the outlook for sovereign spreads for three reasons. First, it allows rates volatility – which we see as a strong guide to sovereign credit risk – to come down further. Second, it limits the downside risks to growth. And third, it reduces the risks of increased fiscal support, widening deficits,

and higher bond supply. To reflect this improvement in the outlook, we revise our end-2026 10y OAT-Bund, BTP-Bund, and Bonos-Bund forecasts to 70bp, 75bp and 45bp (from 75bp, 85bp, and 55bp respectively). This revision is larger in BTPs and Bonos than OATs, given Italy is more exposed sustained energy price pressure and historically sensitive to rates volatility. From current levels, we maintain a widening bias as we continue to think politics will be increasingly relevant throughout 2026 H2.

- **EU bonds set to outperform semi-core.** The EU will announce its issuance target for the H2 2026 in coming weeks. We think the recent guidance of €180bn gross bond issuance for 2026 as a whole (or €70bn for H2) is still on target, although a modestly higher target is possible depending on mobilisation of funds under the NGEU. We showed in a [recent report](#) that EU bonds have broadly tracked aggregate Euro area fundamentals since 2022. This suggests to us that EU pricing is close to fair, but we see risks tilted towards outperformance vs semi-core. On the one hand, the ongoing underperformance vs its AAA-rating makes further cheapening unlikely. On the other, we think market deepening and various measures to improve liquidity taken in recent years could be better reflected in pricing. For instance, we have shown that EU bid-ask spreads have not compressed as much as the increase in the EU debt stock would imply ([Exhibit 6](#)). Given EU-Bund spreads' sensitivity to liquidity (as captured by bid-ask spreads), a catch-up with peers on this metric could be worth as much as 5bp on our analysis. We also note that while the stock of EU debt will continue to grow next year, it will likely do so at a slower pace. Although we do not see compelling evidence that bond supply has weighed on the EU specifically, more modest funding needs compared to recent years is a net positive.
- **Incoming news supports steeper GBP curve.** We think the combination of weaker macro data and ongoing fiscal risks should combine to steepen the UK curve. Another [inflation miss in May](#) suggests that underlying inflation pressures are weak. And while the [unemployment rate declined in April](#), our economists also think that the underlying trend is towards labour market loosening, consistent with the moderation in wage growth. Combined with the likely reopening of the Strait of Hormuz, we think this backdrop is consistent with an [on-hold BoE](#). Given markets price about 45bp of hikes for the UK, we see UK front-end rates as among the most compelling in the G10 to position for a further relaxation of energy-related inflation risks. At the same time, the large margin of victory for Andy Burnham in the Makerfield by-election will keep fiscal policy in focus, and should limit the degree to which Gilt term premium can compress. With Gilts trading well on asset swaps, we think ebbs and flows in term premium point to concerns about the re-injection of macro-economic uncertainty into the Gilt curve rather than a sign of indigestion of bond supply. As a result, we continue to [recommend 2s10s GBP steepeners](#), combining front-end relief with some protection against renewed political risk.
- **Patient holds in the Scandis and Switzerland.** While Riksbank, Norges Bank and the SNB all left policy rates unchanged this week, different reaction functions and fundamentals point to further front-end divergence, in our view. The Riksbank has communicated more openness to tighten policy, but our economists think they will need to see more evidence of broadening price pressures to act, and still expect the

first hike in December. In Norway, with more explicit guidance from Norges Bank and stronger fundamentals, our economists continue to forecast a September hike. In Switzerland, we think the case for policy tightening remains weak and so expect the SNB to comfortably stay put. Given this different backdrop for policy, we expect NOK-SEK rate differentials to remain wide at the very front-end of curve, but to tighten, say at 1y1y, as the NOK curve flattens on further hikes and the SEK curve steepens on delayed hikes. Elevated NOK rates from a historical perspective and the prospect of gradual reflation in Sweden should reinforce the convergence already visible in pricing further out the curve as well.

Japan

- **Fiscal in focus.** JGBs sold off following the BoJ's 25bp hike this week, reinforcing our view that near-term risks skew towards more cheapening in the belly of the curve on building risk premium in the absence of more hawkish guidance on the future path of policy or the neutral rate. Terminal rate pricing was largely unchanged after the meeting, but yields rose further out the curve, reflecting the market's continued assessment that a 1.5% terminal may prove insufficient to contain broader risks. The balance sheet decision was mostly in line with expectations to stop tapering purchases beyond April 2027 but featured one hawkish dissent to continue the taper beyond then. Our economists still forecast the next hike in January to a terminal rate of 1.5% but note that the timing will likely be influenced by the BoJ's progress in communication with the government and may depend on when conditions for a hike are in place from the government's perspective. Near-term, fiscal policy will be the key factor for JGB yields. Fiscal headlines picked up this week with an LDP proposal to lower the food consumption tax to 1% from 8%, and the next hurdle is the release of the Basic Policy in July. While volatility is likely to be higher in the belly and long-end around these announcements, we continue to think that risk/reward is more favorable to shorts in the 2-to-5y part of the curve, where additional fiscal support would likely reinforce a more sustained hiking path.

Australia and New Zealand

- **Room for further AUD and NZD 1y/1y1y flattening.** RBA kept rates on hold, keeping a tightening bias in the statement and press conference. While the characterization of risks was more balanced than previously, our economists still expect another hike in August under their baseline for likely uncomfortably high inflation for 2Q26. We view the bar as high for the incoming data on activity to sway either the committee, whose set of forecasts was conditioned on one further hike, or front-end pricing. Spillovers from the hawkish Fed pivot may incrementally push in that same direction, and with markets currently pricing 6bp we see good risk reward for paying August RBA meeting OIS. Further ahead, we think that markets will gain confidence in the policy transmission and thus expect any further front-end tightening to go hand-in-hand with lower forwards and continue to like front-end flatteners. Similarly, for RBNZ we think very front-end pricing can prove relatively immune to the relaxation in energy prices, given the strongly worded guidance and broad-based hawkish pivot at the May meeting; our economists continue to expect

the MPC to deliver a mini tightening cycle in July and September. That said, we still view forwards beyond that as still too high, especially if excessive tightening exerts further pressure on the output gap.

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Forecasts

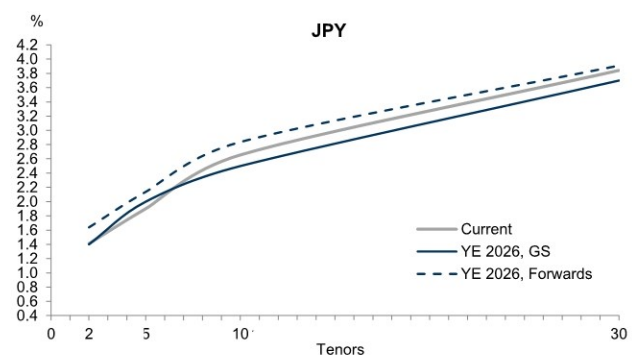
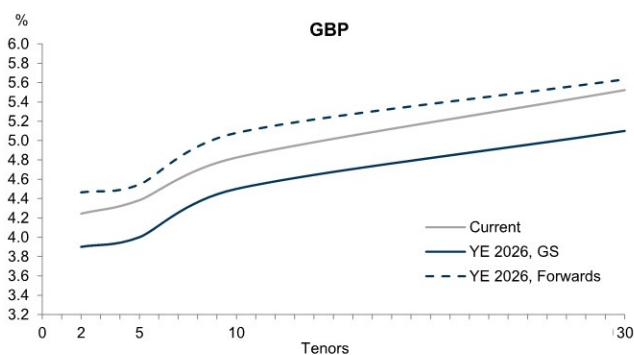
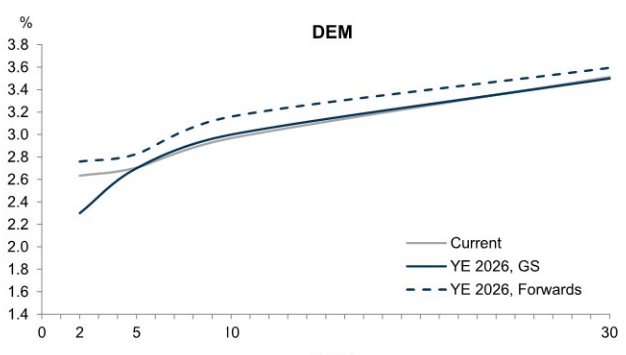
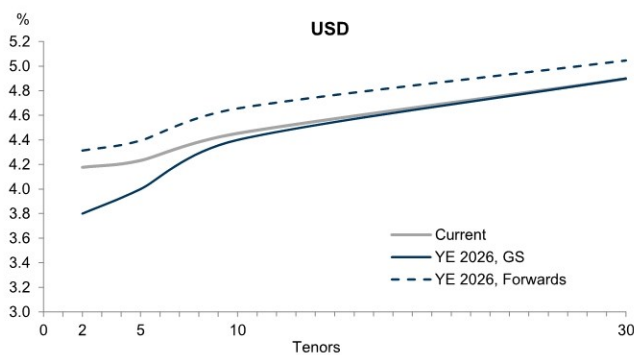
G10 10y yield forecast

G10 10-Year Yield Forecasts													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
Spot	4.45	2.97	3.72	3.67	3.44	4.83	2.66	3.37	0.35	2.78	4.33	4.81	4.43
2Q26	4.50	2.90	3.55	3.60	3.30	4.75	2.50	3.45	0.30	3.15	4.10	4.85	4.50
3Q26	4.45	2.95	3.60	3.65	3.35	4.60	2.50	3.50	0.40	3.20	4.00	4.75	4.50
4Q26	4.40	3.00	3.70	3.75	3.45	4.50	2.50	3.50	0.50	3.25	4.00	4.70	4.50
1Q27	4.35	3.00	3.75	3.80	3.50	4.50	2.45	3.50	0.50	3.25	4.00	4.60	4.50
2Q27	4.30	3.00	3.75	3.85	3.55	4.40	2.40	3.50	0.50	3.25	4.00	4.50	4.50
3Q27	4.25	3.00	3.75	3.90	3.60	4.40	2.30	3.50	0.50	3.25	4.00	4.50	4.50
4Q27	4.25	3.00	3.75	3.90	3.60	4.35	2.25	3.50	0.50	3.25	4.00	4.50	4.50

Deviation from Forwards													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
2Q26	0.04	-0.08	-0.18	-0.09	-0.14	-0.09	-0.17	0.07	-0.04	0.38	-0.23	0.04	0.06
3Q26	-0.06	-0.10	-0.15	-0.14	-0.11	-0.35	-0.25	0.04	0.02	0.41	-0.31	-0.10	-0.01
4Q26	-0.15	-0.08	-0.10	-0.11	-0.07	-0.50	-0.32	0.00	0.10	0.43	-0.30	-0.17	-0.08
1Q27	-0.24	-0.12	-0.10	-0.11	-0.06	-0.54	-0.45	-0.03	0.08	0.40	-0.28	-0.29	-0.14

Source: Goldman Sachs Global Investment Research

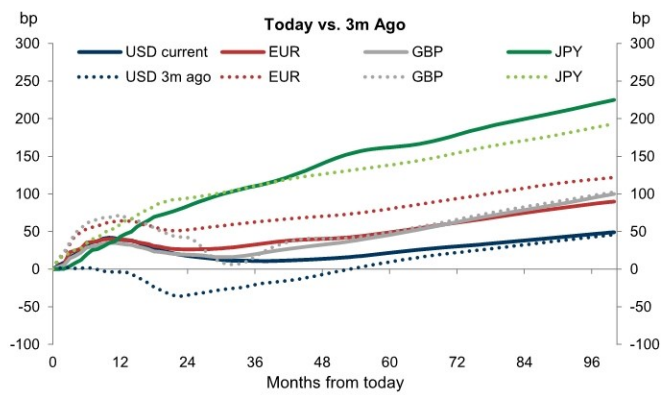
G4 Curve Forecast



Source: Bloomberg, Goldman Sachs Global Investment Research

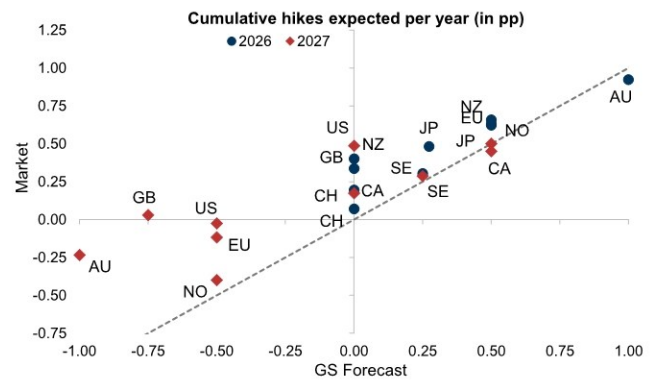
Central Bank Dashboard

Cumulative amount of hikes/cuts priced from today



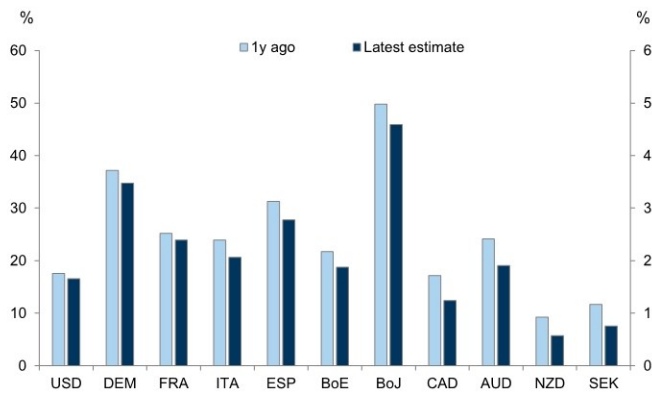
Source: Goldman Sachs Global Investment Research

Expected hikes by year, GS vs. Market



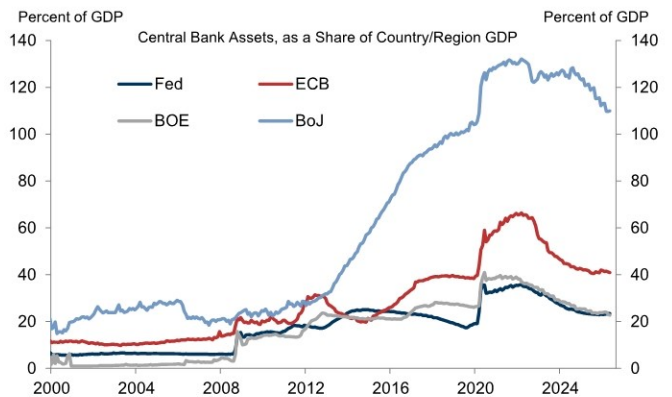
Source: Goldman Sachs Global Investment Research

Central bank ownership of sovereign bonds, current vs. 1y ago



Source: Haver Analytics

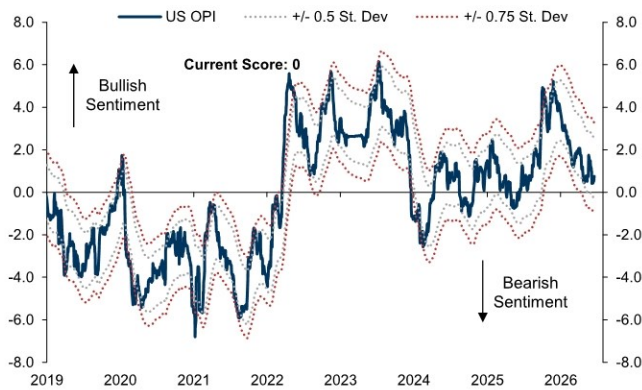
Central bank assets as a share of GDP



Source: Haver Analytics

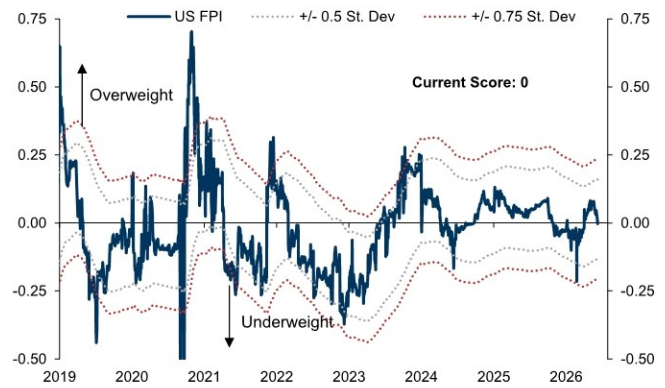
Positioning and Flows Monitor

Option implied position indicator



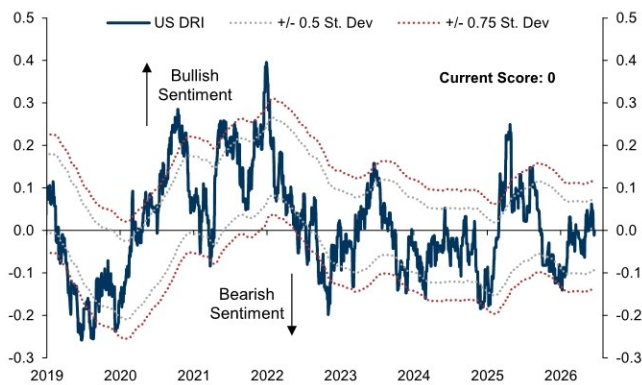
Source: Goldman Sachs Global Investment Research

GS Fund Positioning Indicator



Source: Goldman Sachs Global Investment Research

US Data Response Indicator (DRI)



Source: Goldman Sachs Global Investment Research

CFTC Commitment of Traders and Traders in Financial Futures

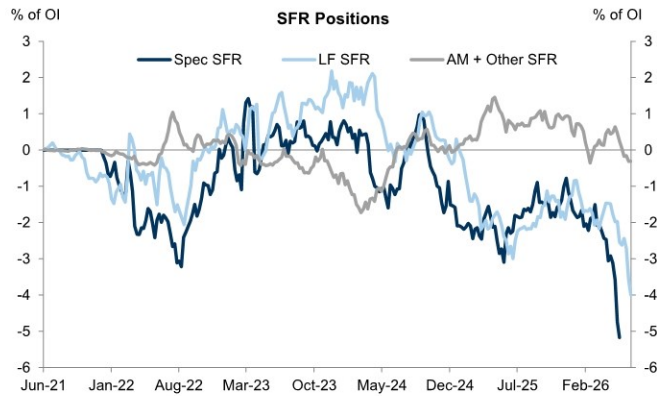
Duration-weighted net position by investor type

Duration-Weighted Positioning, by Contract

\$mm/bp	SFR	TU	FV	TY	TN	US	WN
Spec Current	-74.1	-41.8	-53.9	-52.5	-10.2	-20.9	-55.5
Spec 1w Change	-7.4	4.7	2.6	-1.4	6.0	0.5	-4.9
LF Current	-65.6	-57.6	-90.8	-119.9	-22.3	-38.1	-162.8
LF 1w Change	-7.2	4.7	1.9	-0.5	2.5	0.7	-3.1
AM + Other Current	-6.7	69.7	119.9	147.7	52.6	62.2	200.4
AM + Other 1w Change	0.1	-2.7	-0.3	2.3	-1.8	-1.6	8.6
Dealer Current	72.3	-14.3	-29.4	-27.9	-20.7	-37.6	-37.2
Dealer 1w Change	5.6	-3.0	-1.1	-1.6	2.0	-0.2	-6.7

Source: CFTC, Goldman Sachs Global Investment Research

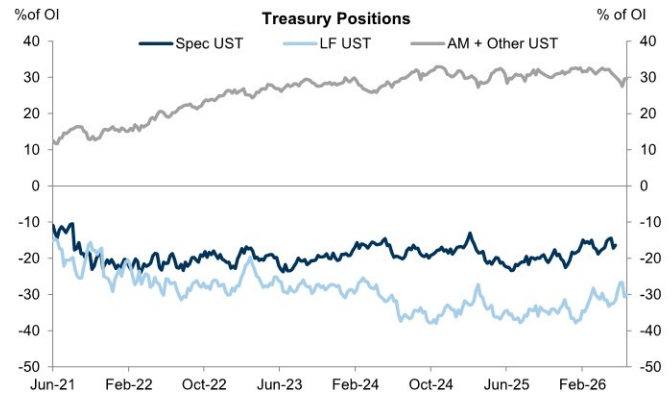
Net positions in Eurodollars



Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Net positions in UST futures

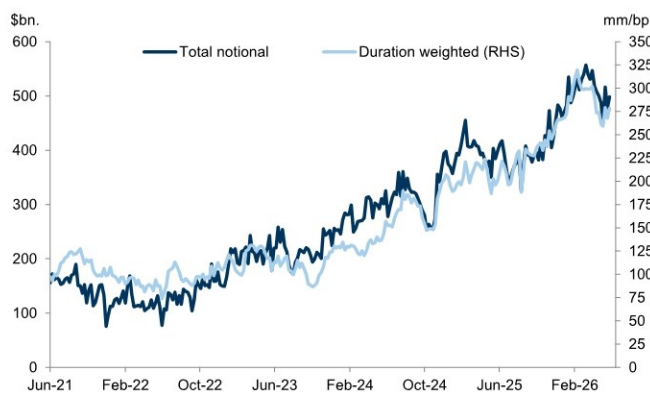


Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Primary dealer transactions

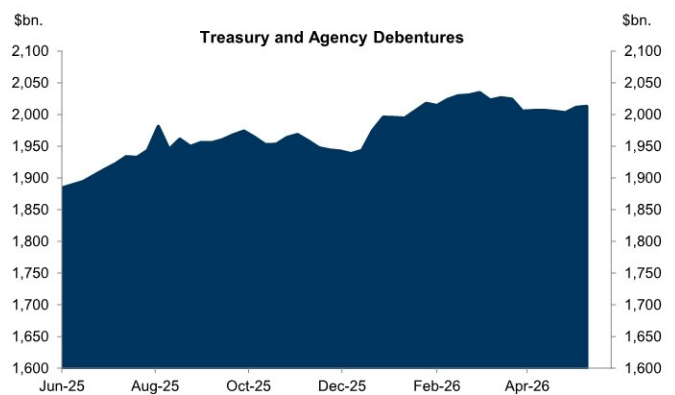
Net dealer position in US Treasuries



Source: Federal Reserve Bank of New York, Goldman Sachs Global Investment Research

US Commercial Banks' Holdings of Treasury and Agency Securities

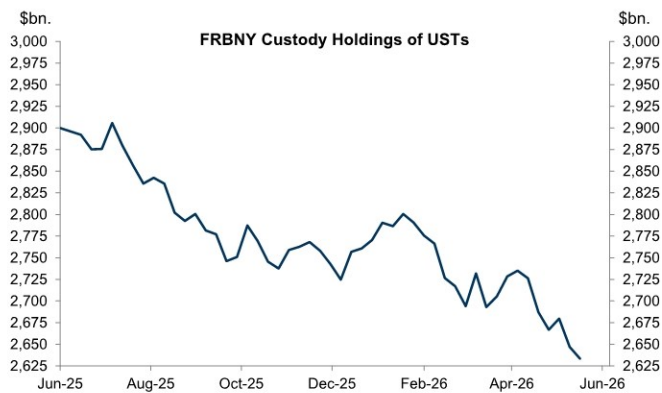
Total domestic and foreign holdings, all commercial banks



Source: Federal Reserve Board

NY Fed Custody Holdings

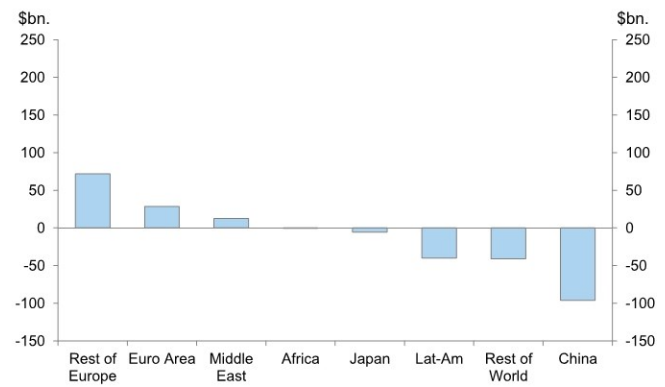
Marketable US Treasuries



Source: Federal Reserve Bank of New York

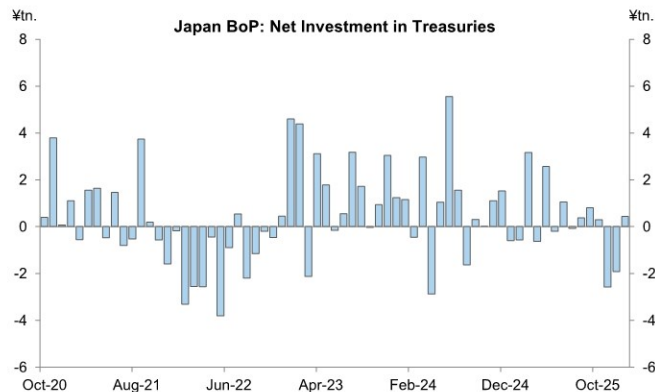
US TIC Treasury Flows

12m change in valuation-adjusted holdings of USTs, by holder of debt



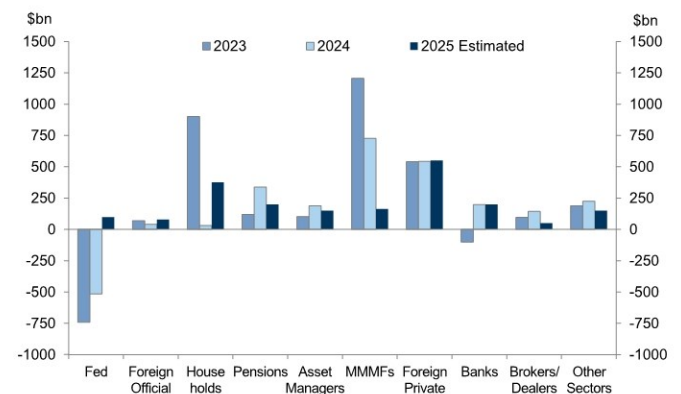
Source: US Treasury, Goldman Sachs Global Investment Research

Net monthly purchases of short- and long-term US Treasuries by Japanese investors



Source: Bank of Japan, Haver Analytics

Flow of Funds annual net purchases of US Treasuries, by sector

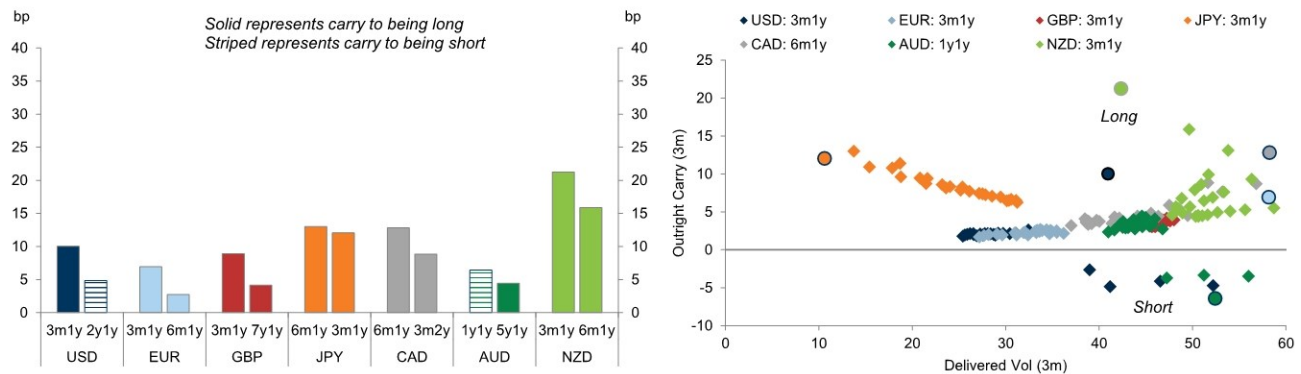


Source: Federal Reserve Board, Goldman Sachs Global Investment Research

Carry/Rolldown Monitor

Outright Carry

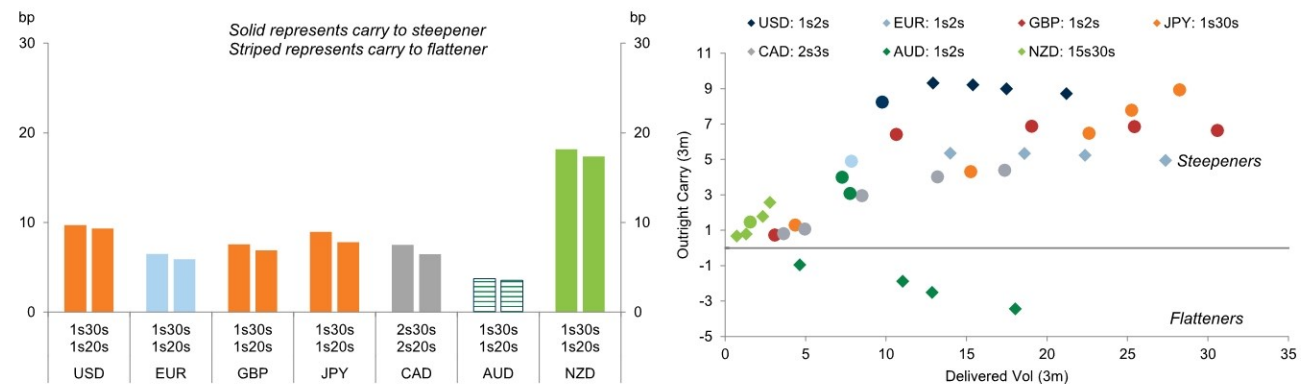
Bar chart shows top two carry points by currency, with solid reflecting carry to a long position and striped carry to a short position. Scatter illustrates top 25 carry/vol points by currency, with top point by currency noted



Source: Goldman Sachs Global Investment Research

Curve Carry

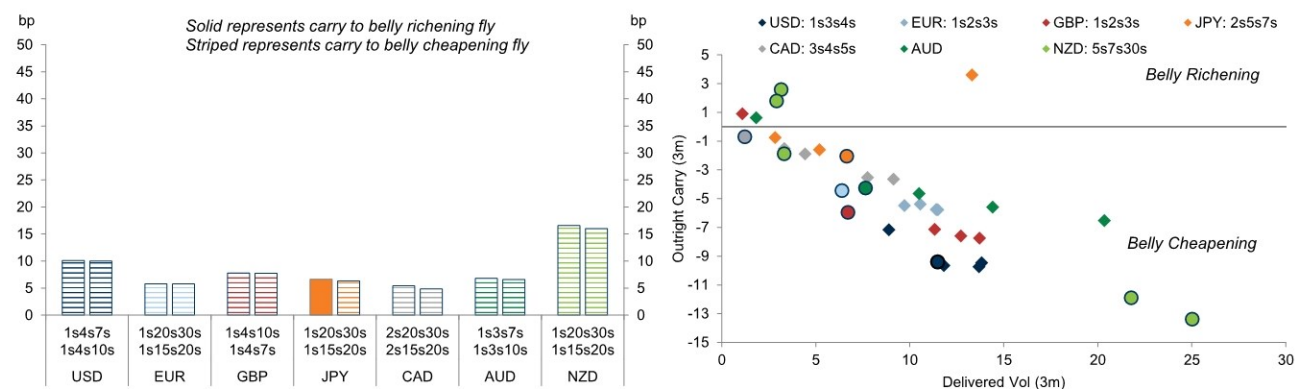
Bar chart shows top two carry curves by currency, with solid reflecting carry to a steepening position and striped carry to a flattening position. Scatter illustrates top 5 carry/vol curves by currency, with top curve by currency noted



Source: Goldman Sachs Global Investment Research

Fly Carry

Bar chart shows top two carry flies by currency, with solid reflecting carry to a belly-richening fly and striped carry to a belly-cheapening fly. Scatter illustrates top 5 carry/vol flies by currency, with top fly by currency noted.



Source: Goldman Sachs Global Investment Research

Treasury Supply Monitor

Gross Treasury auction size estimates by year end, with GS projections

Monthly Auction Amounts at End of Calendar Year (\$ billions)											
	2y FRNs	2y	3y	5y	7y	10y	20y	30y	5y TIPS	10y TIPS	30y TIPS
YE-25 (CY)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-26 (CY, GS)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-27 (CY, GS)	33 / 30 (r)	83	72	84	58	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	28 / 26 (r)	21 / 19 (r)	9 / 8 (r)

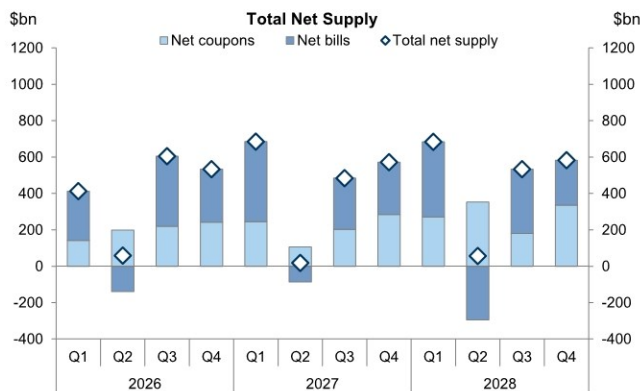
* Original Issue / Reopening listed for FRNs, 10s, 20s, 30s, and TIPS.

US Treasury Net Issuance by Calendar Year (\$ billions)						
	Net Coupons	Fed	Net of Fed	Net Bills	Fed	Net of Fed
CY 2024	1346	-475	1821	511	-23	534
CY 2025	1566	-115	1681	360	38	322
CY 2026, GS	1225	-1	1226	811	422	389
CY 2027, GS	1286	0	1286	927	449	478

Duration supply (\$bn 10y equiv)		
Gross supply	Fed	Net of Fed
2765	0	2765
2797	0	2797
2796	0	2796
2929	0	2929

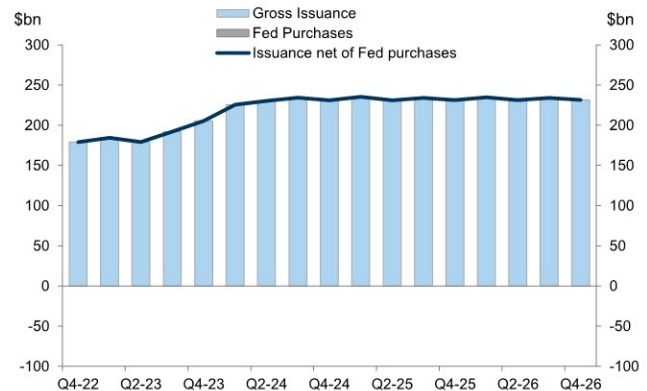
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Net issuance per quarter



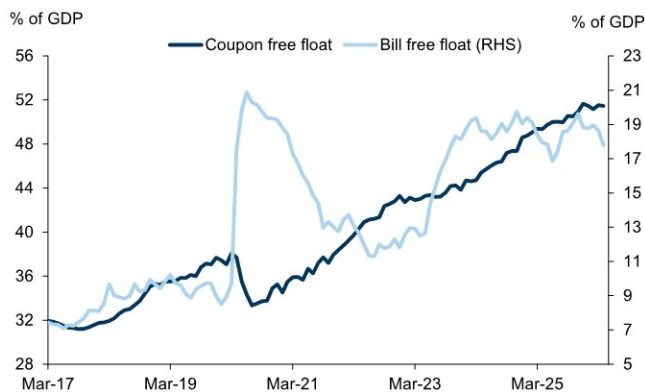
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Average monthly UST issuance, gross and net of Fed purchases; \$bn 10y equivalents



Source: Goldman Sachs Global Investment Research, US Department of the Treasury

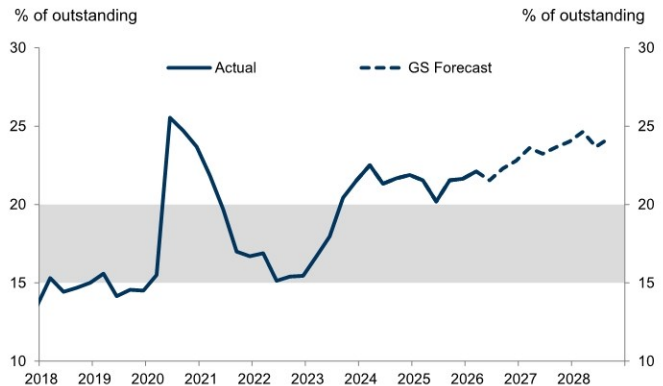
Free float (Treasury's outstanding less Fed and foreign official holdings) as % of GDP



Source: Haver Analytics, US Treasury, Goldman Sachs Global Investment Research

Bills as a share of Treasuries outstanding and GS forecast

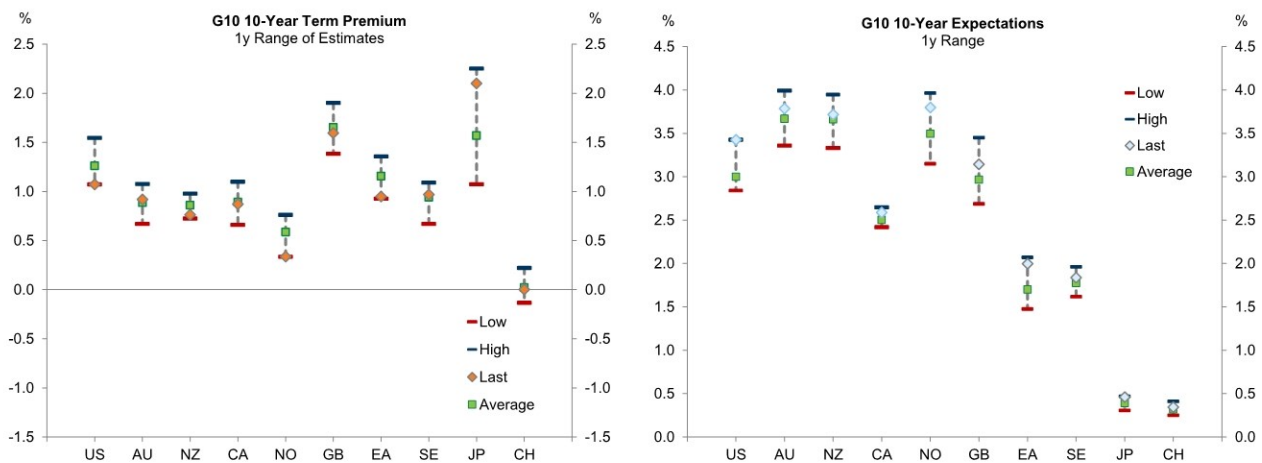
Gray shading denotes TBAC recommended 15-20% range



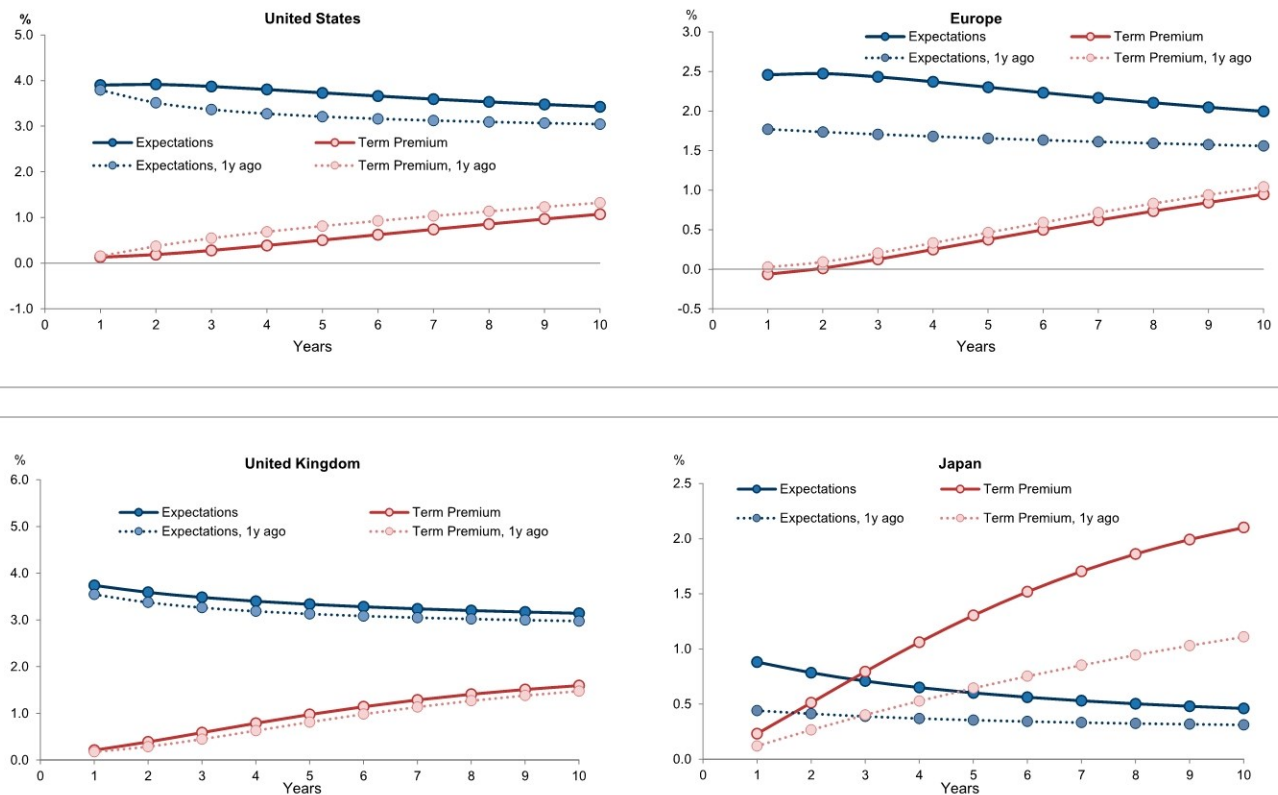
Source: US Treasury, Goldman Sachs Global Investment Research

GS Term Premium Decomposition

1y Range of G10 10y Yields, by Term Premium and Expectations Components



Term Structure of Fitted Yields, by Component



Source: Goldman Sachs Global Investment Research

2026 Trade Recommendations

GS Rates Trades						
Active	Entry Date	Opened	Latest	Stop	Target	Performance
1. Long 3y France, Spain, Italy vs OIS (equally weighted)	10-Apr-26	0.33	0.29	0.32	0.23	+4 bps
2. Long 3y SOFR swap spread	17-Apr-26	-0.226	-0.195	-0.230	-0.180	+3 bps
3. 2s5s CAD steepeners	24-Apr-26	0.20	0.22	0.20	0.35	+2 bps
4. Long 5y Receivers on 3m 2s5s10s Receiver Fly (bp running)	08-May-26	0.01	-0.01	-0.05	0.10	-2 bps
5. 1y forward 2s10s GBP OIS steepeners	29-May-26	0.38	0.37	0.25	0.55	-1 bps
Closed	Entry Date	Closed	Performance			
1. SFRZ6/Z7 steepeners	21-Nov-25	14-Jan-26	+6bps			
2. Long 10y Gilts on ASW	21-Nov-25	30-Jan-26	+12 bps			
3. Long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running)	07-Nov-25	09-Feb-26	-2 bps			
4. 2s5s CORRA steepener	16-Jan-26	13-Feb-26	+0 bps			
5. Receive AUD 5y5y IRS vs pay NZD 5y5y	28-Nov-25	18-Feb-26	+0 bps			
6. Long 20s on 10s20s30s weighted SOFR fly (weights 0.6x : 2x : 1.4x)	01-Aug-25	02-Mar-26	+6 bps			
7. Long SFIU6	30-Jan-26	03-Mar-26	+7 bps			
8. Long 10y Gilts vs Bunds	07-Nov-25	09-Mar-26	+4 bps			
9. 3m10y A+5/A+20/A+27.5 payer ladders (bp running)	20-Feb-26	23-Mar-26	-5 bps			
10. Long 10y NOK vs SEK	13-Feb-26	25-Mar-26	+20 bps			
11. Long EU 30y on the fly against 30y Austria and Spain	27-Feb-26	10-Apr-26	-5 bps			
12. Long USD 3m 2s10s A+10/A+25 curve cap spread (bp of notional)	23-Jan-26	15-Apr-26	-2 bps			
13. USD 3m3y A-5/A-40 receiver spreads	13-Mar-26	30-Apr-26	-7 bps			
14. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	27-Mar-26	07-May-26	+15 bps			
15. Pay 10s on 5s10s30s SOFR fly	09-Jan-26	08-May-26	-1 bps			
16. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	12-Jun-26	18-Jun-26	-1 bps			
17. Long 5y5y EUR OIS - HICP	01-May-26	19-Jun-26	+11 bps			

Note: Potential profit/loss estimates are given as per unit of duration risk, through yesterday's close.

Source: Goldman Sachs Global Investment Research

Global Interest Rates Strategy

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Reg AC

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